

24-Nov-2022

ROCKWOOL A/S (ROCK.B.DK)

Q3 2022 Earnings Call

CORPORATE PARTICIPANTS

Thomas Harder

Director-Group Treasury & Investor Relations, ROCKWOOL A/S

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

OTHER PARTICIPANTS

Brijesh Kumar Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Kristian Tornøe Johansen

Analyst, SEB

Claus Almer

Analyst, Nordea Bank Abp (Denmark)

Yuri Serov

Analyst, Redburn (Europe) Ltd.

Zaim Beekawa

Analyst, JPMorgan Securities Plc

Cedar Ekblom

Analyst, Morgan Stanley & Co. International Plc

Yassine Touahri

Analyst, On Field Investment Research LLP

Manish Beria

Analyst, Societe Generale Global Solution Centre Pvt. Ltd.

Casper Blom

Analyst, Danske Bank A/S

MANAGEMENT DISCUSSION SECTION

Thomas Harder

Director-Group Treasury & Investor Relations, ROCKWOOL A/S

Ladies and gentlemen, welcome to the ROCKWOOL A/S Conference Call regarding the Results for the First Nine Months of 2022. My name is Thomas Harder, I am Director of Group Treasury and Investor Relations of ROCKWOOL A/S.

Today, I'm pleased to present CEO, Jens Birgersson; and CFO, Kim Junge Andersen. For the first part of this call, all participants will be in a listen-only mode. As a reminder, this conference call is being recorded. First, Jens Birgersson will go through our presentation and give you an update on the results for the first nine-month and third quarter of 2022.

Afterwards, we'll be ready to answer all your good questions. Before I hand over the words to Jens Birgersson, I must ask you to notice slide number 2, which is the forward-looking statement. Please be aware that this presentation contains uncertainties. Now, we are ready to the next slide, which is slide number 3.

Jens Birgersson, I'll now hand over the words to you.

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

Good morning to you. We will go through the deck, not every slide; some of the slides are not so interesting, and then we will hand over to questions as soon as we can. So if we look at the year-to-date numbers, it's a nice top line development, but we have seen volumes decline and we still have a volume growth in the 27% sales increase.

Moving down to the EBIT margin, just to sum up a little bit what has happened this year, we started out Q1 with – where we were taken by surprise, I would say, a ramp up of inflation. And although the top line was okay in Q1, the bottom line was not. We have this lead time on passing prices of 6, 8, sometimes 12 weeks. Some OEM businesses are even six months. In those days, it was a year, and then we changed some of those contracts.

But then also we have a challenging Q1. Be correct to that, and then we had a really good Q2, where margins were back and it looked in balance. We then predicted that the summer wouldn't be so dramatic on energy and inflation. But towards the end of Q2, we saw that something is about to happen. And then we got back into the office, and we started to raise prices. Those prices we put into the market there, had the usual lead time.

So we knew that depending on how bad Q3 would be in terms of inflation, including energy, we couldn't do much about it. We could impact September, but we couldn't really impact July and August when we were at the end of June and we started to see the curves pointing up on all costs. So, that was kind of how the year has played until now.

Looking at the net profit, down €61 million. Actually, that profit is quite stable if you take out unrealized exchange rate loss of €57 million or €60 million. So, that has held up. Free cash flow is down. What are the reasons for that? Fundamentally, it's net working capital that has increased and a lot of it is growth-driven. It's also the inventory valuation that is up quite a lot. It's not a volume increase in the inventory; it's a value increase. We have

actively actually managed volumes down a little bit in the inventory to make sure that doesn't go up. Also trade receivables, obviously with this sales increase, is up, but not overdue. So, nothing that surprised us, I'll say.

Going back to this situation before I comment on the Q3 numbers that you have all seen. At the end of Q2, we then started to see – slide 4. If you look at June, the gas prices started from mid-June to the skyrocket. And in some markets, for example in France, we had €1,500 per megawatt hour. Compare that to per kilowatt hour that you buy at home, €15 per kilowatt hour, where most of you are used in the last 10 years to pay maybe €0.20 to €0.50 at a most. I mean, it's extreme, extreme. Why did that happen? We have been digging quite into that.

And as you're aware, the last 10 years, probably the optimum strategy for us was to never hedge. We have gone back and looked at if we would have done better with hedging? No, we wouldn't. But anyhow, we came out of that, so we sat pretty much unhedged into Q3. The main factors for why the price spikes was obviously the Ukraine war and the gas story, but then also that the governments, municipalities keep buying gas for storage, no matter what the price was.

And with the way the pricing mechanisms work where the last generated kilowatt hour sets the price for electricity, that, of course, contributed tremendously not only to the gas price, but also to the electricity price. Then you had possibly the biggest effect is the margin call aspect of when you sell electricity. And the ones selling, even though they have a lower production cost, need to cash up in case there is a margin call. So, that limited the output in the market.

We have met electricity generators that sat with the price of €800 in the market and didn't sell electricity that cost €50 to produce, for the reason of that they didn't have cash to put in to protect against the margin call. And then you had a French nuclear that was down more than 50%, still is down, and then also the hydropower depletion. So, all these factors played together. And I think some of those factors have disappeared. The margin call aspect has, in some places, been mitigated a bit with governmental guarantees and also in some aspect different payment conditions for the energy customers.

So, what were the numbers in terms of inflation? We saw inflation up of 74%. Obviously, energy was the massive, massive part, but also other materials. For example, binder was up 60%. And if you put that 74% in contrast to say Q2, we talk €55 million to €60 million jump in cost, in inflationary cost, just between Q2 and Q3, and we simply didn't have that in the price of 29%. Quarter-on-quarter, year-on-year, Q3 almost €200 million. So, that was dramatic. We still came in after that, thanks to September that was a little bit better. We still managed to get year-to-date about 10%.

And I come back to the guidance. Yesterday, with then the uptick and a new pricing coming in and a slight coming down on the energy market, we still then are quite happy with that guidance can be maintained. We haven't changed the top line and the bottom line guidance. So obviously, without this quarter we would have been more towards the top. Yes, we didn't want to only earn €68 million, as you see on slide 5, but nevertheless, we can maintain the guidance.

If we then look at Q3, yes volume is down 7%, 8%. We see a slowdown, especially in newbuild. We see companies, for example, like Amazon canceling or postponing very big projects in Europe. And so, I think generally, we have a downturn. On the other hand, the energy prices are high and that keeps supporting in the midterm the need of our product insulation. I'll come back to that in a little bit. In the scenario you've seen here, with all the energy prices, the gas and electricity was really, really skyrocketing. Coke and coal did increase, but not to the same extent. So, that acted a little bit like a normalizing hedge if ever energy cost increase of 74% can be seen as anything normal.

Move on to slide 6, I don't feel there is much to comment on that other than to say that, on the Systems division the biggest impact to that growth there is still Grodan. That's the big contributor and especially in North America. Then move on to slide 7, and just to comment one single thing. Systems division has picked up a little bit on that picture; that's 11% growth. And the reason for that is that, Grodan has a better – it seems to be flattening out decline in the North American market, so there you now have a smaller decline than you have in Q2.

Moving on to the regional development on slide 8. Western Europe, obviously individual price increases, I don't go through here. But volume is single-digit decline, but with the price we have a good growth. In Eastern Europe, we see strong volume decline. In Russia, obviously it's impacted by the sanction, but actually Eastern Europe is growing small percentage points, about 2%. And then, North America, Asia and others, so you have a whole drama of different scenarios or happenings.

Asia is up 20%. China is down, at least not double digit, but single digit, 6%, 7%. And in North America, in the quarter there was a very dramatic destocking. New housing sales is down, and it's like the whole market decided to destock, at least our customers. And that – we actually saw a slight sales decline and we saw a very dramatic volume decline, and that has since now started to tick up again. So it was one of these quarters where everyone in North America or in our customer base wanted to get rid of stock.

Moving to slide – I don't think this – yeah, maybe move to slide 10. Here, you can see that due to the transfer pricing mechanism between Systems and Insulation, for Systems division product you saw that there's very sudden impact of the inflation. It hit the Insulation business the worst. And we were quite happy with having gotten the Insulation business up to double digit or 10% in Q2, but here it was obviously thrown back due to that.

Move on to slide 11. Investments, no particular change here. We guided down a little bit. Projects we don't need in the next one and a half year, we pushed them out a little bit, but no real big changes. We are now looking at getting an approval we hope in Q4 for the France project, so that we hopefully could start building that towards the end of Q1, commence the project. If you don't get that, it's all looking good, it's not on sound grounds in my mind. There's lawsuit between the government and the local mayor. But what we have seen, it looks good. But again, let's wait and see if that can come through, so that we can start construction.

Slide 12. I've already commented cash flow elements. We move to slide 13. What you see here are a couple of the factors that speak for us. My view is that, short term we're going to see a recession. We're going to see lower newbuild activity on residential absolutely, almost across the board. Quite dramatic here in the Nordic, what we have seen so far; Sweden, Denmark. Some commercial also down, obviously, with the high interest and the high inflation and generally recessionary territory we are in. We are probably a bit more pessimistic still about GDP outlook for next year than the macroeconomic experts.

Still a little bit puzzled why they adjust the forecast down so little every time they come out, but I conclude they do adjust them down. But if we look at, for example, the PMI – manufacturing PMI for Germany is down 45%, which is extremely low number, very pessimistic outlook in Germany. If you go back to this, the case for renovation and our product, climate action is still there. COP27, I didn't go, Head of Marketing didn't go, we don't spend too much time on that because I don't feel we can impact much there. We rely more on that the EU will actually get something underway.

The case for energy independence when we do our calculations for gas and gas availability next year. Our conclusion is that, with a little bit colder houses, little bit more saving, a bit more demand destruction, we are not quite so pessimistic about that there will be gas next year. We obviously don't worry this year, but again, touch

wood, anything can happen nowadays. But when we see what's happening to demand and we look at LNG, the Freedom Gas coming in, I think there is a good chance of that.

But the case for energy dependence is still there and you can't achieve it without reduced improving energy efficiency. So, that speaks for us. The energy efficiency case is also there. Italy continues. We haven't seen much activity. Politicians in the EU, they talk about, but we don't. We don't see this big rollout of it. The EU funding available is about €16 billion per year in the period 2021 to 2027. That monies needs to be deployed. And there is a further funding, financing of roughly the same amount. So, it should have an impact. But I must admit, we don't see a step-up yet. I want people, I guess, to be a bit careful that are expecting the step-up to happen very quickly.

One can ask – I sometimes ask myself, will the step-up happen because [ph] some want to (00:17:24) avoid the temperature to rise 3 degrees centigrade? Is that the reason they will step up quickly? Somehow I start to doubt it. Things happen quickly if they're outside Italy; France doing something, but still relatively quickly. But if we have a little bit more serious recession then I think this – we are made up more of the C model, the C benefits of renovation, where the first thing is social, the social aspect. And then you have the economic and the environmental.

And if any of the efficiency is about the environmental case, if you have a downturn and people run out of money and you want to provide stimulus to the economy, having all building workers unemployed, is not a smart strategy. So get them back to work, and put them not on newbuild, but put them on fixing housing. And that will have a social impact which is incredibly important when it's bad times and it will obviously have a great economic impact. So, who knows? Maybe the recession combined with the climate need and the more SE benefits will speed things up.

Outlook, no comment on that. I comment on the CapEx, the investments, and would probably say that we are relatively happy with that we could keep that in spite of a quarter like that. Obviously, we would have done better without that quarter, but the fact that we could stick to it and navigate this says a lot about how swiftly our local managers out there are to adapt to very rapidly changing circumstances. We are happy about that even though, of course, we would have liked to avoid the quarter like we had in Q3.

Over to questions.

QUESTION AND ANSWER SECTION

Operator: [Operator Instructions] We have a question from Brijesh Kumar. Please go ahead, sir.

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

Can't hear you, Brijesh.

Brijesh Kumar Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Can you hear me? Is that clear?

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

Now it's clear.

Brijesh Kumar Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Hello? Oh, great. Thank you. So the first one is from me about pricing. You talked about 7% to 10% price increase in Q1, and we understand that it will be around 35% higher Y-o-Y in Q4 2022. But with that price increase and looking at your competitors like [ph] PlasticForms (00:20:43), they have already kind of looking to cut prices.

So my question is around what is going on in terms of competitive dynamics in the market within the [indiscernible] (00:20:54) as well as with the competing materials in Insulation. So if you could just give us, whether you are kind of going to hold your market there. That means you have to compromise on pricing, or you rather leave the market to be taken somebody else so that you can hold on to your margin.

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

Yeah. Okay. Thanks, Brijesh. I'll try to answer that. So first of all, we have now high inflation, 7% to 10% is across the world. And obviously, for example in the US we don't have the same energy inflation, even though in the US press you read horrible prices. But compared to what we have in Europe, it's nowhere near. And then, parts of Asia, you have different levels. And China, you have different levels. So this is the average across the world. In Europe, you have markets that need bigger price than that.

My view on pricing and why this level of inflation is so incredibly dangerous for society is that, if you have inflation on 2%, 3% and you make a mistake on your pricing, sure, you earn a little bit less money, but you're going to be cash positive, you're going to service your debt if we don't really have debt. But if you have debt, it's not so dramatic. But when inflation goes to this territory of 10%, if you don't pass that on, it doesn't matter what volume you have.

And if you have, what I believe we are stepping into now, there are going to be segments that are different, of course. But on aggregate, I think we have a slowing down market. So we have a case where you have close to or double-digit inflationary numbers. So my view on it is that, if this continues you need to pass on that because,

otherwise, it's going to end very, very bad. But of course, some companies that haven't experienced this situation, they're going to be tempted to believe that by reducing prices I can get more volume, and that will save them. And that might work a little bit in a 2% to 3% inflationary environment. It doesn't work in an inflationary environment with 10%. So, that's what I see.

So, I don't exclude that some players in some markets with lower prices, but we are taking a shot at doing it. And there are going to be segments where we don't do it. But generally, we need to pass on the inflation and we need to get on that – keep staying on that train, otherwise cash flow is gone. Then if we look at EPS, I don't have the same information as you. I don't necessarily agree with that, that's happening in the EPS market.

Second question, Brijesh?

Brijesh Kumar Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Yeah. So the second one is on the cost side. I take that point that the inflation has kind of [ph] suit up (00:24:13) and especially the gas and electricity is really hurting you. But looking inward and looking at ROCKWOOL, what is in your control and what we could do in future differently to make sure your energy dependence comes down?

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

It's a very good question. And clear is that what we have been doing in the last 10 years, that worked. And as we move more and more into electricity when we make our footprint greener, gas and especially electricity will be more and more important. So what we do now is that we have a sizable team working on issues like PPAs, virtual PPAs, other agreements. We, for example, made [indiscernible] (00:25:05) deal in France where we secured electricity pricing for next year.

So we have a big – it's a real battle group working on this and we are reading up quickly and working through our hedging policy, our sourcing policy and all the rest of it. And all new investments now, we also check against – before we push the button, we like to know that we, with the energy deal or the energy pricing, will be competitive when we go online.

So, we are working through all of that and we will change a number of things. And obviously, we don't want to – we want to get out of the situation where we have 74% in one quarter. That's kind of a ridiculous situation to be in. So that work is happening, and I share more as we move on. But we have already started to secure a few things. It should also be said that, even until now we have 50% gas hedged up to year-end. When we do the maths in the current environment, the premium on a mid- and short-term hedge is high.

So still at the moment when you are where you are, it doesn't really make sense to hedge as we see it. So when you step into it, you either need to look for an opportunity that you can live with because you probably don't beat the market. But otherwise, you roll into a system that will act two or three years out. And then, by the time you arrive, you're going to be on a sound level. So it's not a quick fix. Even though the French deal was a quick fix, that worked out nicely.

Brijesh Kumar Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Understood. Sorry. Okay, I'll get back with you. Thank you. Thank you very much.

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

Yeah.

A

Operator: Our next question...

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

And as I said, one more comment on that, Brijesh. We also keep agility on pricing, as you saw. But again, it's a lead time, but we have the intention to pass on inflation via price.

A

Operator: Our next question comes from Kristian Johansen from SEB. Your line is open, sir. Please go ahead.

Kristian Tornøe Johansen

Analyst, SEB

Yes. Thank you. Thank you. Two questions from me as well. So, first one is on pricing and the sort of effect into next year. So obviously, you've raised prices continuously through 2022, and you are now giving us a number for what you will do in Q1 as well. So on my rough calculation, your revenue next year should benefit by around 20% from just the full year impact and the Q1 pricing alone, all things equals. Is that a fair calculation?

Q

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

I hand that over to Kim.

A

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

I think, of course, we will be careful to comment on 2023 because that's just one element of the moving parts. But of course, it has mathematically quite a significant impact on the top line.

A

Kristian Tornøe Johansen

Analyst, SEB

So I'm not totally off with an estimate of 20%, that's what you're saying?

Q

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

But Kristian, we haven't commented volumes for next year. You have a recession coming, so...

A

Kristian Tornøe Johansen

Analyst, SEB

No, I'm not asking for volumes and I know you don't guide for next year. I'm simply asking for you to help us understand the full year impact of the pricing you've already done and then what you have now announced in Q1.

Q

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

A

Kristian, in a perfect Excel world that I live in very often, of course; and if you only have one pricing point, the 7% to 10%, and you don't think about the other quarters then mathematically you are right. But of course, we don't know what is happening in quarter two, quarter three, quarter four.

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

I should also...

Kristian Tornøe Johansen

Analyst, SEB

No, no. I fully understand, but...

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

I should also say, there is another dimension to this and that is that, compared to 2007 and those years before me, there wasn't much of a dialogue with customers about price. We have told customers that Q3 will be a challenge. We have a dialogue about it. And that also means that if energy prices go down, this case is different because then, of course, we're not going to sit with pricing for energy that is this high if the energy isn't that high. And that's a little bit different to previous cases.

Again, we haven't done these surcharges. That should also be said. We have priced it in. It's not a surcharge formula. But if energy prices, let's hope they do go down a little bit, we will also lower some prices.

Kristian Tornøe Johansen

Analyst, SEB

Understood. Then my second question is on guidance. Jens, you sort of repeatedly say that you've been able to keep your guidance unchanged; that's also what slide 15 indicates. But even though you hit it well on page 9 in your report, you do say you expect the margin to be in the lower end of your range. So to me that's the same as downgrading to 10% to 11%. So can you just elaborate a bit on why you now expect it to be in the low end, which to me was a bit surprising considering the decline we have seen in energy prices towards the end of Q3 and into Q4.

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

Yeah, it's all philosophy. You sit and look at this paper. If people don't change that guidance now, our reasoning will be, first of all, we are within the guidance and there were things flying around. We still have the Christmas weather and you name it. But of course, when you are this close, the denominator is there and you only have very short span to generate something more. But what I guess I don't want to be in, I don't want to be in that every year, of course, when I get to first of December, I know more than I do first of September.

So our argument was, if this is the guidance we had in a very fluctuating environment, I think we had the guidance from May or whatever. Then we kept it, because otherwise we would have every year to go within a percentage point. And that type of guidance, I don't think, is very helpful to try to be that accurate all the time. So therefore, we just kept it and said that we are there. And let's see where the year ends; there's still some time left.

Kristian Tornøe Johansen

Analyst, SEB

Q

Sure. But I mean, given that you've had to add the comment of expecting to be in the lower end, you must be looking into something which is slightly worse than what you did in August when you presented this 10% to 12% guidance. So, can you just elaborate sort of on the assumptions?

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

I would have loved to make €40 million, €45 million more in Q3, for sure.

Kristian Tornøe Johansen

Analyst, SEB

Q

So, it is predominantly the – I mean, the remaining portion of Q3 which you didn't know in August, which is the...

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Basically, you have July and August where we really suffered and that's it. Has to change.

Kristian Tornøe Johansen

Analyst, SEB

Q

Fair enough. I'll jump back in the queue. Thank you.

Operator: Our next question comes from Claus Almer from Nordea.

Claus Almer

Analyst, Nordea Bank Abp (Denmark)

Q

Thank you. Also a few questions from my side. And coming back to this energy headwind, yes, you have mentioned this in number of times. So, in the quarter we had a €200 million headwind year-over-year, which is around 20% of revenue. And the EBIT margin was down by 6.5 percentage points, something like that. How does this compare to the price increases you have implemented? I think in August you said you expected price to come up by around 35% full year.

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Yeah, the price in the quarter was up. The price in the quarter was up 29%, Kim. And so, I would say you have 23, 24 margin percentage point impacted by the inflation, something like that. It's a bit less than €200 million, I'm rounding, yeah. And then, the prices, what 18%, 19% on the difference is basically the margin percentage deterioration. So, that's what it is.

Claus Almer

Analyst, Nordea Bank Abp (Denmark)

Q

So if 29% up in Q3, that means there will be less or not that much extra in Q4, just to be sure. Or have you increased this 35% number you have mentioned in the past?

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Yeah. We keep up – we keep going up in Q4 to roughly that number you mentioned. But then, when we sit like this, you have a slope in this thing. So, it's not like first of the quarter you have a certain price; it's a sloping thing. And it's hundreds of, thousands of transactions. So, it's roughly there.

Claus Almer

Analyst, Nordea Bank Abp (Denmark)

Q

Okay. But just trying to do the math, energy is up 20% and you raised prices by 29% and yet your margin is down by 6.5%. And I know there's other things than energy in your COGS, but it seems like something else did also really dilute your profitability in the quarter.

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

No, energy is up...

Claus Almer

Analyst, Nordea Bank Abp (Denmark)

Q

[indiscernible] (00:35:27) volume down.

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

No, energy is up 74%.

Claus Almer

Analyst, Nordea Bank Abp (Denmark)

Q

But €200 million headwind year-over-year is around 10% – sorry, is about 20% of your revenue in Q3, right?

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Yeah.

Claus Almer

Analyst, Nordea Bank Abp (Denmark)

Q

Maybe we should take it offline. My second question goes to renovation. You mentioned in the report that the newbuild seem to be cooling off. And when I read what you write about renovation, you seem uncertain. When you think this will – renovation will pick up? Is that correct? Is that how we should think about renovation part of your demand?

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

I think that's definitely correct, because you go from – I mean, only two – if you take Denmark as an example, you're talking three months back, record every month in deliveries. And suddenly, you have a house builder that cut capacity with 50% or something like that. So, obviously, that changes quickly. And then when you look at

financing of renovation projects, you will see that some people won't have money to do that. So I think stimulus packages are needed to get it done.

So even though the EU is committed to do it, they have the budget to do it, they have extra money that they can also finance it apart from giving money to it, the pickup will happen when you put those things in play, and that hasn't happened. They are committed, but they haven't put it in play. Yes, Italy continued and that works. But in the other places, if I had a house and I wanted to renovate it, I would wait until those packages come; I wouldn't start renovation now. So I feel pretty certain that it won't pick up very quickly until subsidies are there, so to say.

Claus Almer

Analyst, Nordea Bank Abp (Denmark)

Okay. Thanks. That was all for me.

Operator: And our next question comes from Yuri Serov from Redburn.

Yuri Serov

Analyst, Redburn (Europe) Ltd.

Yes. Good morning. So, I just wanted to ask you, in your press release you had a very definitive statement where you said that the EBIT margin recovered in September and October, that's the language that you used. Can you just quantify that what it means? The word recover, does that mean that your margin in September, October was 13% or something else?

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

We don't comment within that. But I mean, the prices that we passed end of June, that start to impact the end of September and into October. I just wanted to signal that after that horrible margin we had in Q3, even though – so if year-to-date EBIT margin is now about 10.2% and then closing the year, again, with December where we always jump around on EBIT margin depending on snowfall, they close the sites or whatever they do, so we always have the risk of one-third of the quarter, be honestly, we have seen every variant in the book on that. So I would just say, it's back on reasonably good level so that we can keep our guidance, but the percentage we don't give.

The other thing that impact margins now, and that's not real money is, of course, work in progress. I mean, stock evaluations or such things in the accounting system, so that would also distort a little bit where the margins end when you have increase in cost. But the margin has recovered very much so compared to July and August.

Yuri Serov

Analyst, Redburn (Europe) Ltd.

So you say, July and August – no, sorry, not July and August, September, October, you call it reasonable level, and it's up to us to decide what reasonable level means.

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

Yeah.

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Yeah. We never guide on per month what the margin is. But you have our year-end guidance and you have the year-to-date, so...

Yuri Serov

Analyst, Redburn (Europe) Ltd.

Q

No, I was a bit interested in what exactly [ph] in month by (00:40:21) margins recovered. And when you said that stock will impact margins, what does that mean? How will that – what [indiscernible] (00:40:27)?

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

I didn't get that one.

Yuri Serov

Analyst, Redburn (Europe) Ltd.

Q

You said that inventory movements will impact margins. What do you mean by that?

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

No. But that's why it doesn't make sense to comment a month, right?

Yuri Serov

Analyst, Redburn (Europe) Ltd.

Q

Okay.

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

I mean, if you reevaluate your inventory for a cost change, for inflation, and you book that in a month, you might have a month with a higher margin or lower margin, depending on what rate goes. And that's not really interesting for the spreadsheet. So, it's all about timing when you do that. So, we don't get down and comment months. But the only thing I said is that, the price and inflation roughly right from a cash profit perspective, it's not as bad as it was in July and August. And with this generation, we should be able to deliver the forecast.

Yuri Serov

Analyst, Redburn (Europe) Ltd.

Q

The second one. Can you give us a sense as to what you think your total volume change for the year will be in the Insulation segment? What you have seen so far. I know that December is unpredictable, but what's the best guess?

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

A

Yuri, Kim here. We will not go in and disclose volume development by segment. So, I think we gave some indication at the group level which I think is useful, but we will not go and be more detailed about these things.

Yuri Serov

Analyst, Redburn (Europe) Ltd.

Okay. So what is it at the group level?

Q

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

As we said, we are still year-to-date on a positive volume development quarter – as in year-to-date quarter three. And we also said that we are – in the quarter three itself, we were down about 8% volume wise.

A

Yuri Serov

Analyst, Redburn (Europe) Ltd.

Okay. Thank you.

Q

Operator: Our next question comes from Zaim Beekawa from JPMorgan.

Zaim Beekawa

Analyst, JPMorgan Securities Plc

Good morning, Jens. Thank you for taking my question. Just a couple from me. Coming back to Q4, and I think what the margin implies, if we take a 10%, that's kind of a flat EBIT in Q4. Do you think that's achievable? And secondly, sorry to push on kind of the end markets. You've mentioned renovation and it's not really going to pick up. So do you anticipate that we could have sort of a slowdown in 2023 kind of a mid-single digit decline? And would your best guess be that [ph] labor (00:43:09) activity declined sort of [ph] minus 10% plus (00:43:13)? Thank you.

Q

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

So, I mean the mathematics for Q4, with the guidance, you can do that maths yourself. But since I'm talking to newspapers, I think it's fair to say that – and we have kept this line since May. We believe that there is a decline in the construction market, especially newbuild. And I mentioned Amazon, both in the US and in Europe, quite substantial projects that are pushing out or canceling or postponing, but they are not happening. So, I believe declining market activity next year.

A

You always have a dark horse in this situation which is the US. Because if you go through the last couple of turbulences in economics, downturns, they're always quicker down, they go deeper and they come up quicker. So honestly speaking, I don't know whether US will pull it off and get out of this and get into positive territory next year again, I simply cannot say, but it's not unheard of. So it could get a lot worse than we see, but it also be one of these where the US just do it brutally and then they come up a bit and they start to grow. So there, I don't know.

In Europe, my view is that when you look at the German PMI outlook and the fact that we tend to see macroeconomic forecast at just moderate down, down, down, step-by-step very little, is some of that we kind of not deal with it. And therefore, I feel – at least my message is that I am planning for lower volumes next year.

Zaim Beekawa

Analyst, JPMorgan Securities Plc

Okay.

Q

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

But that's the way – that's the approach to business with what we see, because there are so many negative factors. It doesn't mean I'm ready to guide for next year, but I'm saying, I believe we have a recession next year. Dark horse, again, would be the EU renovation money in our particular case. But again, we haven't really seen politicians act quickly so far. I mean, just look at this whole thing with the gas subsidy.

Spain, Romania, there were some countries that ultra-quick came up with something. EU is still discussing, right. Soon Germany will come with a proposal because they don't wait. It's a very strong proposal they're making, but this is slowness of the whole thing. So, I think we need to get ready for that. It can be a year that is slower than this year. But I don't want to guide. I'd just say in GDP factors, recession, that's what I see. Again, we will come back to the guidance in February.

Zaim Beekawa

Analyst, JPMorgan Securities Plc

Q

Great. Thank you.

Operator: Our next question comes from Cedar Ekblom from Morgan Stanley.

Cedar Ekblom

Analyst, Morgan Stanley & Co. International Plc

Q

Thanks very much. I've just got a follow-up on the pricing targets for the first quarter. The energy costs have obviously rolled. And in the fourth quarter, based on your guidance, you're getting more than a 10% EBIT margin. So just in terms of thinking about that incremental price increase that you're thinking about pushing for next year, are you assuming that energy costs go up from here and that's why that price increase is necessary?

Or is it actually that there are items below your raw material lines like labor, logistics, et cetera, that we should be thinking about? Because I'm just wondering about the quantum of that price increase, why the number is as large as it is, considering that you seem to have recaptured a lot of the margin in the fourth quarter with energy costs rolling? Thank you.

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Yeah. Thanks, Cedar. We believe Q1, from an energy perspective, and this is not our own forecast, but if you look at the forward rate, you look at the experts in the field, generally people believe that energy pricing will be up in Q1. What happens for the whole year, we might be a little bit more optimistic. But remember, we can always adjust the price if we are wrong in Q2. But for the year, the market seemed to talk about that gas will be super difficult next year. I'll leave that one open, but my kind of own calculation is or deliberation maybe, is that there is a chance that it won't be quite as bad as people think. But in Q1, we feel that pricing will be up.

If you then look at consumer price index both in the US, Canada and European, it's a four-letter abbreviation, but European Inflation Index with and without energy, they are up, they are up. So based on that, 7% to 10%, is basically the inflation that we're going to see that keeps coming. But if we are wrong, great; if the economy goes back and we don't have that inflation, great. But that's easy to fix.

Cedar Ekblom

Analyst, Morgan Stanley & Co. International Plc

Yeah. Okay. That's really helpful. Thank you so much.

Q

Operator: And our next question comes from Yassine Touahri from On Field Research.

Yassine Touahri

Analyst, On Field Investment Research LLP

Yes. Good morning. So, a couple of questions. You mentioned that the volume were down 7% to 8% in the third quarter. Have you seen any deterioration in October or at the beginning of November? Or have you seen any improvement in an environment where there is an [indiscernible] (00:49:49) winter. That was the first question on volume.

And then,...

Q

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

Hi, Yassine. I answer that one first. And so, there are definitely markets, not significant. We saw, for example, an improvement in the US in the last couple of four, five weeks. So, that went down and then we saw an improvement. I don't know if that would hold. The new housing sales seems to be permanently say 15% low. Would that worsen? I have no view. But we saw a better – an uptick after that extreme reaction in Q3. Asia, we see growth. And in Europe, I see that we are before US, so I think it will worsen. I think it will worsen on volumes, and I think it's spreading.

A

Yassine Touahri

Analyst, On Field Investment Research LLP

And then my second question is on your ability to adjust your cost structure if there is a prolonged – if there is a deep recession. Could you give us a little bit of color on what you can do to maybe like reduce your fixed cost or synergy cost? Are you planning contingencies in terms of like reducing the shift at your plants? And what margin [indiscernible] (00:51:15) you have to deliver cost savings if the volume are declining again a lot in 2023?

Q

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

Okay. So on the manufacturing side, the blue-collar side, we come out of a situation where we were on an extremely high capacity utilization. So when volumes go down in Europe, we had obviously shift down the factories and we are quite good at doing that. We have worked the last five, six years on creating flexible manufacturing with temporary workers so that, in many cases, this can be done without cutting into permanent employees and we are quite used to doing that. So that aspect is well managed. And in terms of factory overheads and all the rest, maintenance cost, we're relatively good at that to adapt it as long as we don't need to go down on super low number of shifts.

A

Then we come into the white-collar side, the indirects. There we have a combination of that we have raised productivity quite a lot over the last couple of years. And we have a balance between – we are not overly flat in any way. There are a lot of things to work on in the company. And there, we still need to see whether we believe is this a short dip we are seeing? When is renovation coming? And how much can we do? So we have no intention to sit with fixed cost longer term that is not competitive.

But when the situation comes, we always have to sit and look at our cards and see what do we believe? How long is it? How much should we do? So I don't have a number yet. I look at this, I see how much – what do we need for different scenarios. But we haven't made up our mind because it's so sudden it varies, we wait a little bit with that and then we see what we need to do.

Yassine Touahri

Analyst, On Field Investment Research LLP

Thank you very much.

Q

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

Thanks.

A

Operator: Our next question comes from Manish Beria from Societe General.

Manish Beria

Analyst, Societe Generale Global Solution Centre Pvt. Ltd.

Oh, yes. Hi, there. So I have two. The first one is on the pricing. So, I know it's a mathematical calculation or a spreadsheet-based. But you say it, I mean the pricing impact would be like 15%, 20% next year with the rollover. So that means €800 million of extra revenues next year. You see your cost base, so doesn't imply like 10% because cost base could be like €3.2 billion or something like that counting everything. So, you have to have an inflation of like 20%, 30% to cover that. So is my understanding correct? Is it just to cover the cost or also to recover some margins or the negative operating leverage that you could have from the volumes here? I will ask the second next.

Q

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

Manish, I will hand that over to Kim, because we get into the whole area of guidance, and he's just very good at knowing what we normally do and don't do.

So Kim, could you please elaborate that question.

A

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

Yes. Hi, Manish. Obviously, you can say the sales price – as I also said earlier on, the sales price increase for next year with the 7% and 10% plus the carry-forward this year will be the 15% to 20% if you disregard everything else. Beyond that, I think we still need to look at how the year ends here and also how the market develops at the beginning of the year, and we will give you a full guidance in February for 2023.

A

Manish Beria

Analyst, Societe Generale Global Solution Centre Pvt. Ltd.

Okay. So, I have another one. Maybe this is on this year guidance. So if you see your guidance carefully, I mean the sales guidance is 20% to 25%. So, that means – I mean, this year you are guiding for a revenue of €3.7 billion to €3.85 billion or something like that. So if you do a 10% lower end margin, so this €3.75 billion to €3.85 billion, right? But your sales, I mean because you see the progression, if in nine months is already up 30%, so your sales

Q

will not be like what you are guiding, it will be much more than that, maybe like more than €4 billion. So where we should apply this 10%? To your sales guidance that you're guiding or what we see in our model the sales could be for 2022?

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

A

Obviously, again, you have to do the math. I mean, we believe that the full year guidance 20% to 25% is a fair guidance. I know it's a large range, but that also implies obviously further volume decline in Q4. So, you just had to put that into other factor.

Manish Beria

Analyst, Societe Generale Global Solution Centre Pvt. Ltd.

Q

But Kim, I mean you have done like 32% growth in the nine months and then you see the pricing impact in the Q4, I mean volume could be down, but still the revenue will be up. So if you do the math, you do the addition, I mean you cannot be 25%. It has to be more than 30% growth or something like that, the sales growth. So I mean, should we look at the margins? I mean, at the absolute EBIT number [indiscernible] (00:56:51) from your margin, so...

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

A

Yeah. Manish, just to clarify. We are guiding in local currencies and we have year-to-date, September, 27% in local currencies. It is correct that there are positive currency impacts for 4 percentage points year-to-date [ph] September. And with even a weakening dollar, but still with a relatively strong dollar, we believe that there should be a positive currency impact for the full year. But it's the 27% you had to take as the starting point when you do the math for the 20% to 25% full year.

Manish Beria

Analyst, Societe Generale Global Solution Centre Pvt. Ltd.

Q

Okay. Yeah. Thanks for clarifying. Yeah. Thank you.

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Thank you.

Operator: Our last question comes from Casper Blom from Danske Bank.

Casper Blom

Analyst, Danske Bank A/S

Q

Thank you very much. A completely different topic. I was hoping if maybe you could give just an update what's happening in Russia, if there is any news to add in terms of how the plants are being run over there and how you see your Russian operations into 2023 also, and including also the ability to actually extract money from Russia. Thank you.

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Yeah. Okay. Very good question, Casper. So first of all, you look at the sanction environment where we follow everything, we check everything every week. We have quite big control. So also what we are – if we sell something to Turkey, Abu Dhabi, any country and all the changes in the customer pattern where we don't know the end customers, we're checking it really, really carefully.

Due to the fact that mineral wool, i.e., glass wool and stone wool, is on the sanction list. And there is a rule. Our interpretation of the rule is that we are not allowed to exercise management control. That means, we do not take management decision, we don't set price. We can't even approve investments. And we have said we want to invest in Russia, so definitely no money going from here. But we see the numbers. So that's where we stand on that side.

It should also be said with – and I don't use to – I don't hide behind this. But the current interpretation from [indiscernible] (00:59:22) with the sanctions is that if the product is on the sanction list of products, you cannot export to Russia, you cannot sell the business. We have not pushed that argument in the press, because we feel we don't want to [indiscernible] (00:59:40), but that's how it is today. And some of the companies that want to exit [indiscernible] (00:59:43) breach of sanctions to sell it.

So then, we look back at the fundamentals for what we do, and our option to kind of select the least bad where we homed in, what we decided to do, and we are checking that rationale all the time. So the first thing is holding on to IP. These are among our best factories. They have all our world-class manufacturing technologies, they're super plants and they rank very high.

Our rationale to not lose control of this IP, to give a multibillion Danish krona gift to someone or a regime or a competitor because there is a war, that ethical and moral and strategic for ROCKWOOL conclusion is still there. It doesn't make sense to give it away. And here, I would just like to kind of – if I look at what I read now about battery technology, 75% is produced by China. You have AI, you have wind going over to China. You have 80% of all solar now supplied by China and others.

If something would happen with Taiwan, for example, you have to contribute all the semiconductor. I think there are some very important technologies. Obviously, we are not in the scale of solar PV, but we are a green technology and we're unique, because it's in-house technology. So we still have the ethical, moral and business rationale to hold on on that, no matter if you make money in Russia or not.

What we then do with the money, yes, we can still take out royalty. We can still take dividend. There are rules for that, and that's happening, yeah. So we continue to do that. And there our rationale is, by us owning those shares of those four factories in Russia, that's better that we do that, that we get it done, but we leave it in the country, in the hands of a new owner that got it for a zero price. So that's our ethical, moral and business rationale. And nothing has changed.

But then I should also say, nuclear war, World War III with NATO, of course, we would reassess all of this. But for now, we feel our rationale holds but we're checking it every week. And of course, no one has taken more beating I think than we have for this. And we would only take that beating if we felt that looking back at this in 10 years' time and we have given this stuff away, a competitor has taken it and it's now in the hands of others that, believe it or not, but one day things will normalize, and we're going to regret it in the same way we regret that we lost control of technology in Finland and Sweden once upon a time, and that went into Paroc that now is Owens Corning. So, that's how we see it. The rationale is the same. And again, highly volatile environment, something could happen overnight any day.

Casper Blom

Analyst, Danske Bank A/S

Q

Thank you for that elaborate question. I don't know if I am allowed to ask a second question after we pass 12:00?

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Of course, Casper, you'll get one more.

Casper Blom

Analyst, Danske Bank A/S

Q

Right. Thanks a lot. Just on the energy topic. I mean, we heard you back at Q2 talking about how you might shift between different fuel sources, coke, gas, electricity, et cetera. I was just wondering, I mean how fast can you actually do this given the very, very volatile pricing that you have in all these energy markets? I mean, there must be a desire to sort of quickly turn around and use something one day and another source another day. But how quickly can that actually be done in real life?

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

It's not quick. So we have two scenarios. One scenario we don't want to do and that is, if the gas runs out, we have an emergency investment we are doing or – so that if gas will run out which we don't believe it will do, and I think the risk has reduced, we have a way where we're installing some equipment so that we can keep running without gas and produce, say, 50% of the output to just make sure we can deliver to hospitals or whatever there is left of the economy, if that's the scenario for Europe. That program is going ahead.

And once we have it, we can shift into that mode for a portion of the capacity very quickly, but it takes us almost a year, now we have maybe half a year left, not even that, maybe four months left before we can do it. But that is in Europe. We don't need that in Asia, don't need it. So, that's not really a melting process; is to keep the curing and some other processes running. So that we can do quickly once it's in place. Then, we have some unique plants where we can shift between biogas, natural gas and coal very quickly, because we have kept equipment, but that's very small portion.

And for the rest, it's [ph] products varying (01:05:34) everywhere from four months provided the electricity is there to shift from coking coal to electricity, to very much longer projects to replace the whole melter with new electrical melting. But again, we are still on the majority of our melting is done of coke and there isn't a threat to that at the moment. So we have the greenification plan going electrical. But in a way, at the moment the coke softens a little bit below what we see on the gas side. But in Denmark, for example, we run fully off gas, biogas. And there, it's quite tricky to go back if we don't have gas. Okay. Big machines, it takes time.

Casper Blom

Analyst, Danske Bank A/S

Q

Thanks a lot. Oh, yeah. Well, that's understandable. Thanks a lot.

Operator: Ladies and gentlemen, we will now close the Q&A session. I will now turn it over to your host for final remarks. Please begin.

Thomas Harder

Director-Group Treasury & Investor Relations, ROCKWOOL A/S

Thank you. Ladies and gentlemen, we would like to thank the equity analysts for all your good questions and the audience for listening in on today's call. We appreciate your interest in ROCKWOOL A/S. If you have further questions, please feel free to reach out to me, Thomas Harder, you know my contact details, or you may find them in the Investors section on our corporate website.

Jens, Kim and I, thank you for joining today's earnings call. Have a great day.

Disclaimer

The information herein is based on sources we believe to be reliable but is not guaranteed by us and does not purport to be a complete or error-free statement or summary of the available data. As such, we do not warrant, endorse or guarantee the completeness, accuracy, integrity, or timeliness of the information. You must evaluate, and bear all risks associated with, the use of any information provided hereunder, including any reliance on the accuracy, completeness, safety or usefulness of such information. This information is not intended to be used as the primary basis of investment decisions. It should not be construed as advice designed to meet the particular investment needs of any investor. This report is published solely for information purposes, and is not to be construed as financial or other advice or as an offer to sell or the solicitation of an offer to buy any security in any state where such an offer or solicitation would be illegal. Any information expressed herein on this date is subject to change without notice. Any opinions or assertions contained in this information do not represent the opinions or beliefs of FactSet CallStreet, LLC. FactSet CallStreet, LLC, or one or more of its employees, including the writer of this report, may have a position in any of the securities discussed herein.

THE INFORMATION PROVIDED TO YOU HEREUNDER IS PROVIDED "AS IS," AND TO THE MAXIMUM EXTENT PERMITTED BY APPLICABLE LAW, FactSet CallStreet, LLC AND ITS LICENSORS, BUSINESS ASSOCIATES AND SUPPLIERS DISCLAIM ALL WARRANTIES WITH RESPECT TO THE SAME, EXPRESS, IMPLIED AND STATUTORY, INCLUDING WITHOUT LIMITATION ANY IMPLIED WARRANTIES OF MERCHANTABILITY, FITNESS FOR A PARTICULAR PURPOSE, ACCURACY, COMPLETENESS, AND NON-INFRINGEMENT. TO THE MAXIMUM EXTENT PERMITTED BY APPLICABLE LAW, NEITHER FACTSET CALLSTREET, LLC NOR ITS OFFICERS, MEMBERS, DIRECTORS, PARTNERS, AFFILIATES, BUSINESS ASSOCIATES, LICENSORS OR SUPPLIERS WILL BE LIABLE FOR ANY INDIRECT, INCIDENTAL, SPECIAL, CONSEQUENTIAL OR PUNITIVE DAMAGES, INCLUDING WITHOUT LIMITATION DAMAGES FOR LOST PROFITS OR REVENUES, GOODWILL, WORK STOPPAGE, SECURITY BREACHES, VIRUSES, COMPUTER FAILURE OR MALFUNCTION, USE, DATA OR OTHER INTANGIBLE LOSSES OR COMMERCIAL DAMAGES, EVEN IF ANY OF SUCH PARTIES IS ADVISED OF THE POSSIBILITY OF SUCH LOSSES, ARISING UNDER OR IN CONNECTION WITH THE INFORMATION PROVIDED HEREIN OR ANY OTHER SUBJECT MATTER HEREOF.

The contents and appearance of this report are Copyrighted FactSet CallStreet, LLC 2022 CallStreet and FactSet CallStreet, LLC are trademarks and service marks of FactSet CallStreet, LLC. All other trademarks mentioned are trademarks of their respective companies. All rights reserved.